

Tutorial- 4

1. What is the effective annual yield if the semiannual periodic interest rate is 4.3%?

2. Suppose that the coupon rate of a floating-rate security resets every six months at a spread of 70 basis points over the reference rate. If the bond is trading at below par value, explain whether the discount margin is greater than or less than 70 basis points.

3. An investor is considering the purchase of a 20-year 7% coupon bond selling for \$816 and a par value of \$1,000. The yield to maturity for this bond is 9%. Answer the below questions.

(a) What would be the total future dollars if this investor invested \$816 for 20 years earning 9% compounded semiannually?

3. An investor is considering the purchase of a 20-year 7% coupon bond selling for \$816 and a par value of \$1,000. The yield to maturity for this bond is 9%. Answer the below questions.

(b) What are the total coupon payments over the life of this bond?

3. An investor is considering the purchase of a 20-year 7% coupon bond selling for \$816 and a par value of \$1,000. The yield to maturity for this bond is 9%. Answer the below questions.

(c) What would be the total future dollars from the coupon payments and the repayment of principal at the end of 20 years?

3. An investor is considering the purchase of a 20-year 7% coupon bond selling for \$816 and a par value of \$1,000. The yield to maturity for this bond is 9%. Answer the below questions.

(d) For the bond to produce the same total future dollars as in part (a), how much must the interest on interest be?

4. What is the total return for a 20-year zero-coupon bond that is offering a yield to maturity of 8% if the bond is held to maturity?